

The Wire Fraud *Authorization Gap*

*What the existing process cannot tell you.
What a better one would.*

Ambiguity . Investigation . Pattern . Defensible Action

Observed across fifteen years on the front line of financial services.
No proprietary systems named. No confidential data disclosed.
The gap is industry-wide. The thinking is mine.

Mario D. Atkins

Fraud Analysis . Risk Operations . Root Cause Analysis

The moment that *comes after.*

It is not the moment the fraud happens. It is not the moment the member sits across from you, realizing their deposit is gone. It is not the two hours you spend locking down their account, changing credentials, filing the affidavit, switching direct deposits, opening a new account.

The moment nobody talks about is the one that comes after all of that.

When the member leaves. When the branch quiets. When you sit with what just happened and you think: this did not have to occur.

And then you think the most dangerous thought of all.

I know where the gap is.

I know how to fix it.

The authorization *problem.*

When a member submits a wire transfer request online, the institution receives a form. Beneficiary details. Routing number. Account number. A copy of an identification document. A submission timestamp. A record that the member completed the required authentication steps to access their account.

What the institution cannot confirm from that package alone:

- . Whether the person who logged in is the account holder.
- . Whether the identification document uploaded is authentic.
- . Whether the request is being made under duress or manipulation.
- . Whether a fraudster has compromised the account and is executing the transfer.

A dollar threshold creates friction. It does not create identity verification. Those are not the same thing. And the regulatory framework governing wire fraud recovery does not treat them as equivalent when it comes time to determine what the institution owes the member.

The recovery *reality.*

Most members believe their deposits are protected. They are, up to the insured limit, against institutional failure. That protection does not extend the same way to wire fraud.

Wire transfer fraud recovery is governed differently from debit card fraud. The consumer protections that apply to unauthorized electronic fund transfers under federal regulation are not identical to those governing wire transfers. The burden of proof, the timeline requirements, and the institutional liability standards operate under a different framework.

In plain terms:

- . Debit card fraud: stronger consumer protection pathways.
- . Wire transfer fraud: recovery depends heavily on whether the institution can demonstrate liability.
- . If the process was followed correctly and the fraud was executed through legitimate access channels, the institution's obligation narrows significantly.
- . Members are often told, accurately and devastatingly, that the money is gone.

I have looked into the faces of people receiving that information. That is why I am sharing this framework instead of keeping it.

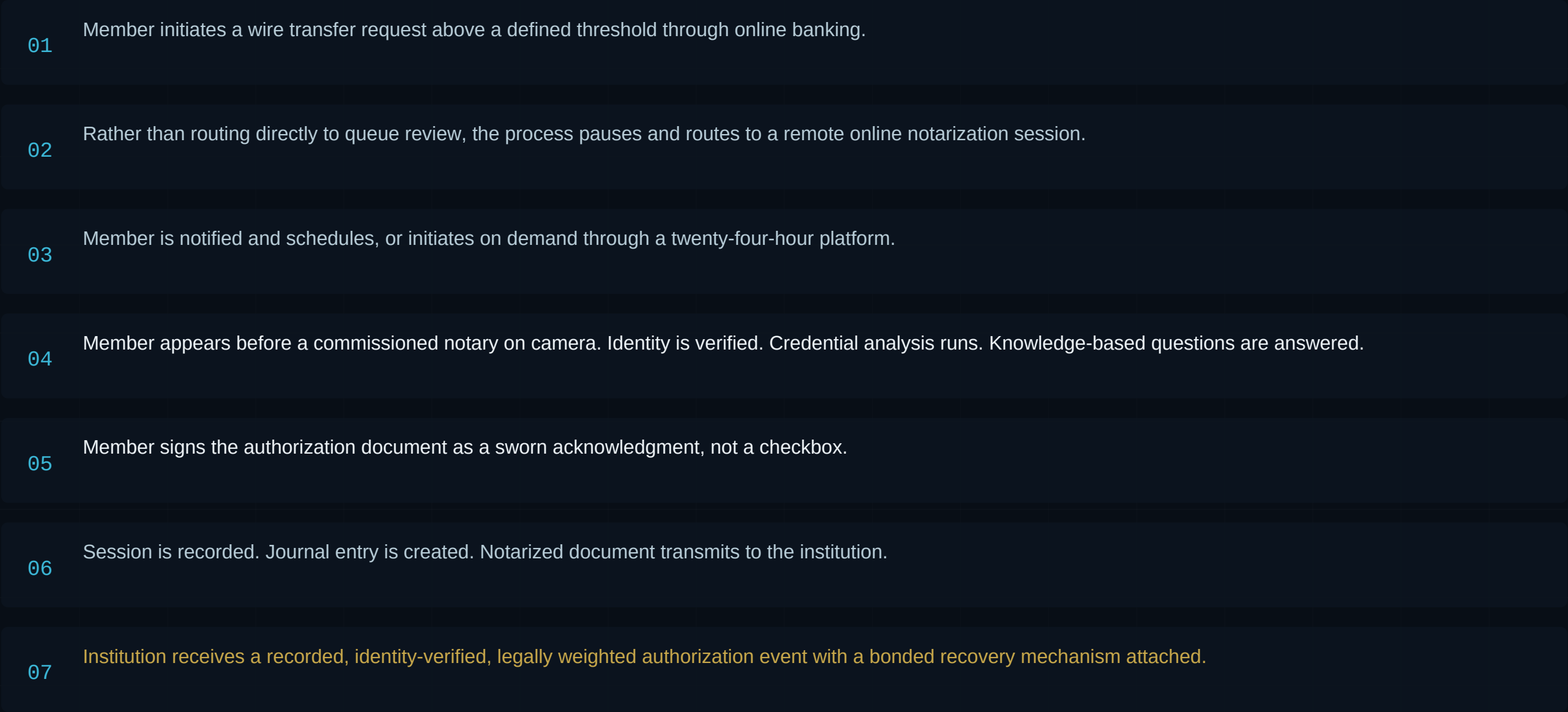
Remote online *notarization.*

Remote online notarization became legal in Florida on January 1, 2020. Many states have followed. The infrastructure is mature. Professional platforms have been refining the process for years. It is not experimental technology. It is a legally defined, operationally tested, identity-verified authorization event.

WHAT THE PROCESS REQUIRES BY LAW

- . The signer must appear on camera before a commissioned notary.
- . A government-issued identification document must be presented.
- . Credential analysis examines the document against authenticity markers.
- . Dynamic knowledge-based authentication questions are asked.
- . The session is recorded in full, start to finish.
- . A journal entry is created and retained for a minimum of ten years.
- . The notary must be bonded. Remote online notarization work requires a minimum bond.
- . Many notaries carry additional errors and omissions insurance.

What the process *could look like.*



Before and *after.*

EXISTING PROCESS	WITH RON EMBEDDED
IDENTITY VERIFICATION Credentials and device	Live, recorded, notarized
DOCUMENT AUTHENTICITY Visual review by staff	Credential analysis by platform
AUTHORIZATION WEIGHT Form submission and click	Sworn acknowledgment
EVIDENTIARY RECORD Login logs, IP address	Recording, credential, journal
RECOVERY MECHANISM Institutional liability review	Notary bond plus E&O insurance
FRAUDSTER DETERRENT Credential theft sufficient	Must appear on camera
POST-FRAUD POSITION Limited options	Recording, evidence, bond claim path

The bond is not *a footnote.*

Every commissioned remote online notary working on a professional platform carries a surety bond as a legal requirement. In states where remote online notarization is governed by statute, minimum bond amounts are defined by law. Many notaries carry additional errors and omissions insurance beyond the bond.

What this means in practice:

- . If a notary fails to properly identify a signer and fraud results, the bond and insurance create a financial recovery path that did not exist in the prior process.
- . The institution is not the only party holding liability exposure. The notary becomes an accountable participant in the authorization event.
- . The fraudster who succeeds despite the RON process has now been recorded. Face on camera. Credential presented. Sworn statement made. That is evidence law enforcement can use.
- . The deterrent effect is real. A fraudster who understands they must appear before a notary on a recorded session faces a meaningfully higher barrier than one who only needs stolen credentials.

The bond is the cherry on top. The recording is the foundation.

Convenience is a *double-edged sword.*

The first objection to any friction-adding process in financial services is always the same: this will hurt the member experience. This will slow transactions. This will cost us business.

That objection deserves a direct answer.

- The friction that convenience removes for the legitimate member is the same friction that protects them from the fraudster. They are not separable.
- A member who needs to send a significant wire transfer is not deterred by an identity verification step. They are protected by it. The fraudster is deterred.
- The RON process can be designed to be clear, guided, and efficient. The friction is in the accountability, not in the experience.
- The alternative is a process that is frictionless for the fraudster and devastating for the member.
- Institutions that prioritize convenience at the authorization layer are making a choice about who absorbs the cost when that convenience is exploited.

I have sat with members who understood this distinction after the fact. None of them wished the process had been more convenient.

I walked in with *the rocks.*

I had the framework. I had the ROI. I had the workflow maps, the vendor research, the bond math, the regulatory citations. I had spent more time on this than anyone had asked me to.

What I did not have:

- . A VP sponsor who felt the pain of wire fraud losses personally and was motivated to champion a solution.
- . The discipline to enter the right room first, at the right level, with the right ask.
- . A pitch of three sentences instead of a document of thirty pages.
- . The patience to build consensus beneath a decision before taking it above one.
- . An understanding that in institutional environments, the credibility of the carrier determines the reception of the idea before the idea itself is evaluated.

The idea was not wrong. The channel was. And I carry my portion of that honestly. An idea does not fail only because of the person who carries it. But the person who carries it matters more than the idea alone.

What this costs *when it stays silent.*

Every organization has people in it who see something clearly and cannot get the institution to look where they are pointing. The gap between what someone sees and what the organization is willing to hear is not always visible on a balance sheet.

But it accumulates.

In fraud operations, it accumulates in cases that did not have to happen. In member losses that did not have to occur. In recovery conversations that had fewer options than they should have.

I am not sharing this framework because I want credit for the idea. I am sharing it because the wire fraud gap I identified still exists. The tool that addresses it still exists. The institutions still losing money to it still exist.

If you work in fraud risk, compliance, or financial operations and you have watched a good idea die in the wrong room, from either side of the table, I would like to hear about it.

THE IDEA *still stands.*

*I am sharing this because I have looked
into the faces of the people it costs.*

The framework is not proprietary. The gap is industry-wide.

The tool is legal, tested, and available.

The thinking is mine, freely given.

I turn unresolved complexity into defensible action.

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